

COMCAST CORPORATION

(NASDAQ: CMCSA)

A 4.3% Dividend Yield Paid for by a Shrinking Business

HOLD — \$21.00 Target

Equity Research Note · Communication Services — Telecom & Media · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
HOLD	\$21.00	\$21.57	-2.6%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$76.5 bn (at \$21.57)	Dividend yield	~4.3% (\$1.00 annualized)
Net debt	~\$85 bn (Versant spin adds ~\$2.7B)	Buybacks	\$1.8 bn in H1 2026
52-week range	~\$21.28 – \$32.86	NBCUniversal / Studios	\$5.4 bn Studio revenue in 2025; Epic Universe opened
2025 revenue	\$123.7 bn (flat)	Versant spin	Completed; ~\$2.7 bn distribution to Comcast
Broadband subscribers	~29.0 mn; –142k in Q2 2026	Next catalyst	Q3 2026 earnings; broadband subscriber trend

1 Investment Thesis

Comcast is a slow-motion transformation: a cable-broadband utility in structural subscriber decline — down about 1.6 million subscribers since 2023 — funding a media business that mostly offsets the decay. Total revenue has been flat at ~\$124 billion for three years; broadband, once the growth engine, lost 142,000 subscribers in the second quarter of 2026 alone as fixed-wireless and fiber overbuilds took share. The question for investors is whether the sum of the parts — Connectivity & Platforms on one side, Content & Experiences on the other — is worth more than a 4.3% dividend yield on a melting ice cube.

Our judgment: the dividend is the thesis, and it is covered — for now. Free cash flow of \$19.2 billion in 2025 and roughly \$6 billion in each of the first two quarters of 2026 covers the ~\$4 billion annual dividend and \$1.8 billion of first-half buybacks with room to spare. But the direction of travel is adverse: broadband subscriber losses are accelerating (not stabilizing), the advertising business is cyclical and structurally challenged in linear, and \$85 billion of net debt against a \$76 billion market cap means the equity is a levered claim on a no-growth business. Our bear case (\$1.03) is not a model artifact — it is the arithmetic of a leveraged equity when revenue declines 1.2% annually and the terminal growth rate goes to -2%.

The base case (\$20.00) assumes Comcast manages the decline: broadband stabilizes at lower share, wireless and business services grow, and the content side (NBCU studios at \$5.4B 2025 revenue, Epic Universe's first full year) holds the line. At \$21.57 the stock is pricing roughly that outcome — fairly, in our view, with a fat yield compensating for the leverage. Our probability-weighted value is \$21.39, rounded to the \$21 target. This is a HOLD for income-oriented investors who understand they own a declining asset being harvested, not a growth story. The dividend's coverage — not subscriber counts — is the metric that matters, and it is the falsification trigger we watch.

2 Business Overview — What Comcast Corporation Is Doing

(Philadelphia, Pennsylvania; CEO Brian Roberts)

Comcast, headquartered in Philadelphia and led by CEO Brian Roberts, is the largest US cable operator and a major media owner. Post the Versant spin-off, the company reports in two segments: Connectivity & Platforms (~\$70 billion revenue: Xfinity broadband, video, wireless, and business services — the cash cow, but broadband subscribers are in structural decline) and Content & Experiences (~\$54 billion: NBCUniversal studios, theme parks, Peacock streaming, and the remaining cable networks — growing modestly, cyclical, and capital-intensive).

The Versant spin — cable networks including USA, CNBC, and MSNBC — was completed with a ~\$2.7 billion distribution to Comcast, removing a declining linear asset from the portfolio and simplifying the story to broadband-plus-content. The capital allocation is unambiguous: pay the dividend (raised annually, now \$1.00 annualized), buy back stock opportunistically (\$1.8B in H1 2026), and deleverage slowly. There is no growth capex story here; the thesis is harvest and return.

What the company is doing now

- **Wireless is the one genuine growth line.** Xfinity Mobile is adding subscribers at a healthy clip on Verizon's network at minimal incremental capex — the bundle that slows broadband churn.
- **Epic Universe is a real asset.** The new Orlando theme park's first full year adds high-margin, non-cyclical-adjacent revenue to Content & Experiences.

3 Financial Analysis

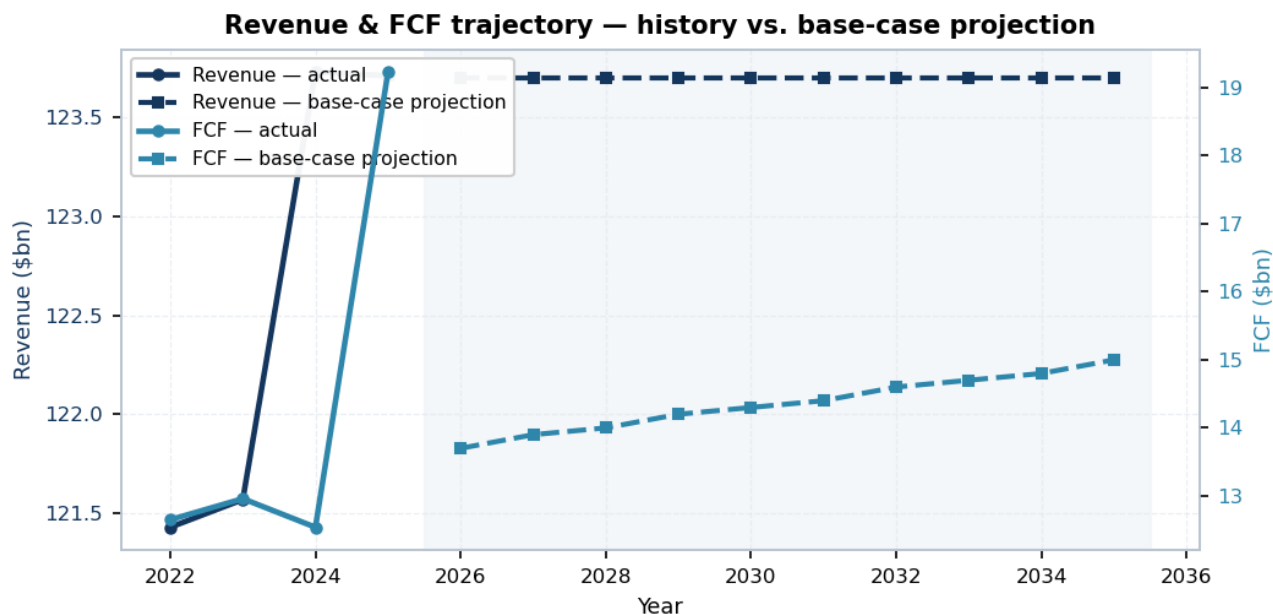
The financial profile is a flat top line with a strong but contested cash engine: revenue \$121.4B → \$121.6B → \$123.7B → \$123.7B (2022–2025), FCF \$12.7B → \$13.0B → \$12.5B → \$19.2B (2022–2025, 2025 boosted by working capital). FCF margins run 10–15%, and the model has base-case terminal FCF margins at 12.1% — this is a harvest story, and the model prices it as one. The balance sheet is the defining feature: ~\$85 billion of net debt against a \$76.5 billion market cap. The equity is a levered claim, which is why the valuation range is so wide (\$1.03 to \$44.55).

Base-case economics: 0.0% ten-year revenue CAGR (flat — the honest number), FCF margins ~11–12%, 10.0% discount, +1.5% terminal growth, TV 43% of EV. The bear (-1.2% revenue CAGR, 8.9% terminal FCF margins, 12.5% discount, -2.0% terminal growth) is the declining-utility death spiral at \$1.03. The bull (+1.2% CAGR, 14.0% terminal margins, 8.5% discount, +2.0% terminal growth) assumes broadband stabilizes and content over-delivers at \$44.55.

\$44.55.

The trajectory chart tells the harvest story visually: a flat revenue line with FCF oscillating in a band rather than compounding — this is what a no-growth cash cow looks like, and the model does not pretend otherwise. The investment question is never 'when does growth return' but 'how long does the harvest last,' and every input in the model — the 0.0% base revenue CAGR, the declining-perpetuity bear, the leverage — is chosen to keep that question front and center.

Revenue & cash-flow trajectory



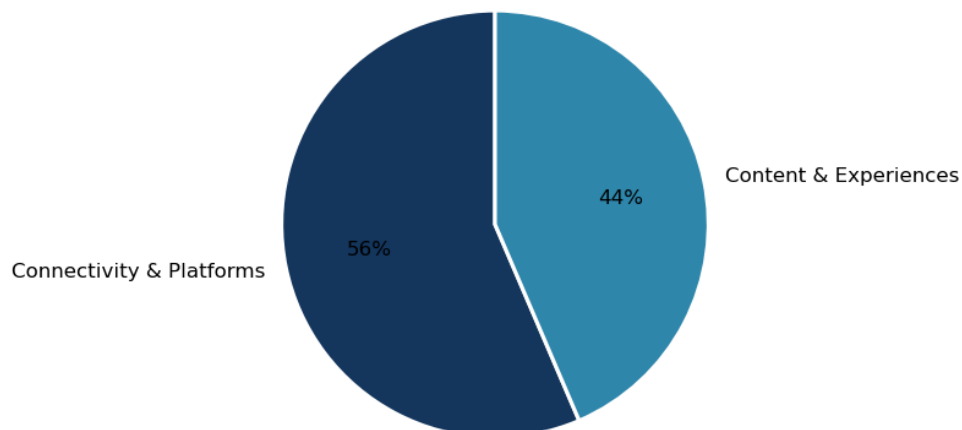
History: revenue and operating-CF-minus-capex (Yahoo; 2025 FCF boosted by working capital). Projection: the model's base-case 10-year path (flat revenue; FCF margin ~11-12%). Shaded = projection.

4 Moat & Competition

- **The last-mile network is a real moat — in most of its footprint.** HFC and fiber plant with speeds competitors can't match without overbuilding; the problem is fixed-wireless doesn't need to match speeds to take price-sensitive subs.
- **Scale in content purchasing and production.** NBCU's studio and parks portfolio diversifies the revenue base beyond connectivity.
- **Bundle economics.** Mobile + broadband bundles reduce churn and raise lifetime value — the best defense against fixed-wireless.
- **Counterweight: the moat is defending a shrinking castle.** Broadband subscriber losses are structural, and \$85B of net debt means the equity absorbs every miss.

Post-Versant revenue mix (~\$bn)

Post-Versant revenue mix (~\$bn)



5 Valuation — 10-year scenario FCFF DCF (levered-equity framework), Fair Value \$21

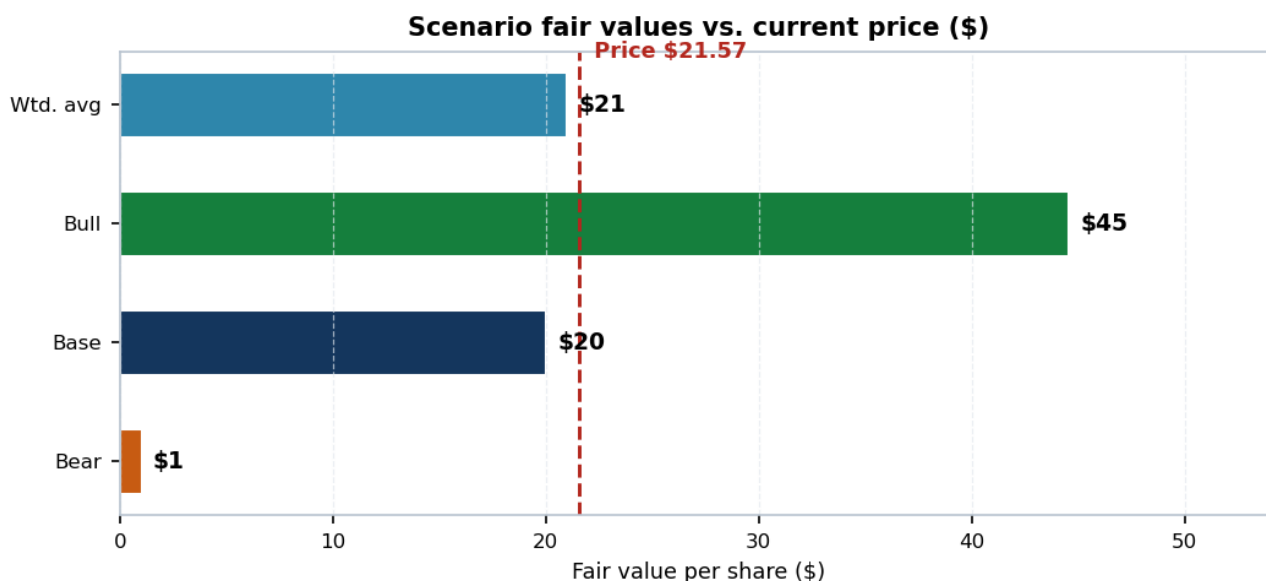
We value Comcast on a probability-weighted 10-year scenario DCF, weighted bear 25% / base 50% / bull 25%, with scenario-specific discounts: bear 12.5% (base + 250bp), base 10.0%, bull 8.5% (base – 150bp). Terminal growth is -2.0% / +1.5% / +2.0% — the bear case explicitly models a declining perpetuity, which is the honest treatment for a structurally shrinking business. Net debt of ~\$85B is subtracted in every scenario; with the debt larger than the market cap, the equity is a levered claim and the valuation range is correspondingly wide.

The base case assumes revenue flat at ~\$124B (0.0% CAGR — the honest number), terminal FCF margins of 12.1%, and a 10% discount: a harvest story priced as one, at \$20.00 with TV 43% of EV. The bear (\$1.03) is the declining-utility death spiral: -1.2% revenue CAGR, 8.9% terminal margins, -2.0% terminal growth — the arithmetic of leverage when the top line shrinks. The bull (\$44.55) assumes broadband stabilizes, wireless scales, and content over-delivers. The wide range is the point: this equity is an option on the decline being managed.

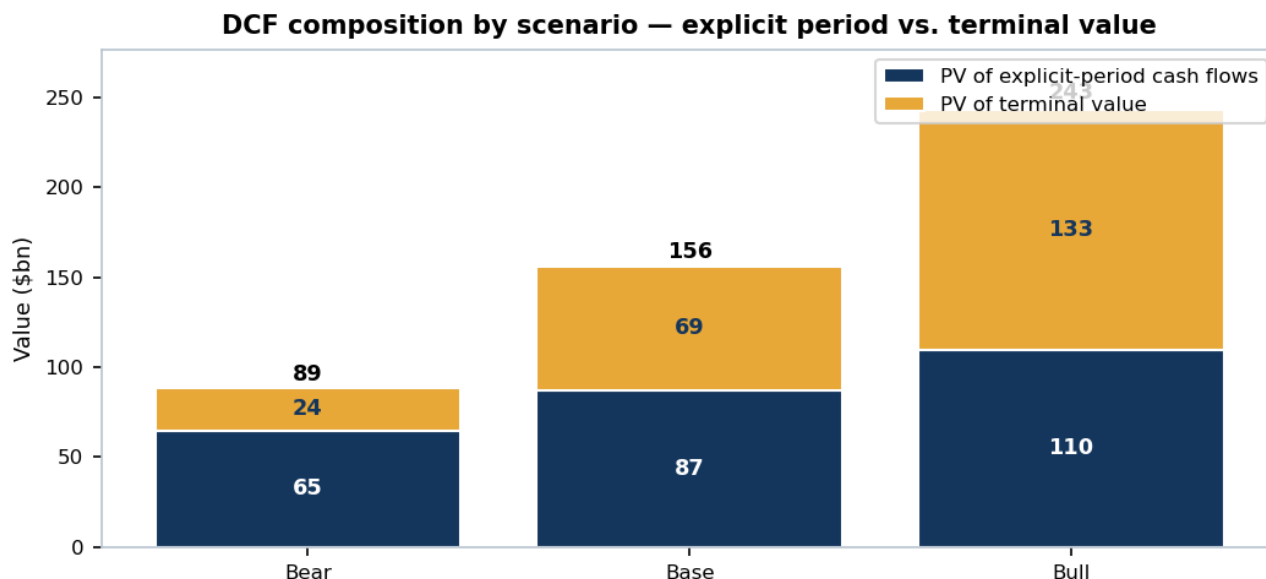
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Declining-utility death spiral: broadband losses accelerate, -1.2% revenue CAGR, 8.9% terminal FCF margins, -2.0% terminal growth; leverage turns punitive.	-1.2%	8.9%	12.5% / -2.0%	27%	\$1.03
Base	Managed decline: revenue flat at ~\$124B, broadband bleed contained, wireless and business services grow, content holds the line; dividend maintained.	+0.0%	12.1%	10.0% / 1.5%	43%	\$20.00
Bull	Broadband stabilizes, Xfinity Mobile scales, Epic Universe and Peacock over-deliver; leverage falls and the equity re-rates on the harvest.	+1.2%	14.0%	8.5% / 2.0%	55%	\$44.55
Wtd. avg	Probability-weighted (25/50/25) → \$21.00 target					\$21.00

Probability-weighted DCF value is \$21.39 ($0.25 \times \$1.03 + 0.50 \times \$20.00 + 0.25 \times \44.55), rounded to our \$21 target — essentially the current price, which is why this is a HOLD. Composition is on an EV basis; ~\$85B of net debt is subtracted to reach equity fair value in every scenario. The wide scenario range is the levered-equity arithmetic, not model noise.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Broadband subscriber acceleration.** Losses of ~142k/quarter could worsen as fixed-wireless and fiber overbuilds expand — the load-bearing assumption of the base case.
- **Leverage.** ~\$85B net debt vs ~\$76.5B market cap: the equity is a levered claim on a no-growth business; small revenue misses compound into large equity misses.
- **Linear advertising decline.** The remaining networks and broadcast face structural ad erosion.
- **Dividend coverage.** The 4.3% yield is the thesis; a cut would destroy the investment case.
- **Content cyclicity.** Studios and parks are economically sensitive and capital-intensive.
- **Regulatory.** Broadband is a politically sensitive utility; price regulation is a perennial risk.

What would change our mind

The dividend's coverage is the metric that matters: FCF falling below ~1.3x the dividend on a sustained basis — or management signaling a cut — would move us to SELL, because the yield is the reason to own the stock. Broadband quarterly losses accelerating materially beyond the recent ~140k pace would move us toward REDUCE. To the upside: broadband losses stabilizing below ~75k/quarter with wireless continuing to scale, or leverage falling below 2.5x on sustained FCF, would argue the harvest is more durable than the bear case allows.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts

are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.